

Kioxia Holdings

#AI #Memory #Initiation

Buy
Initiation

Price: ¥65,850

Target Price: ¥200,000

Upside: 3x

Total return: 3x

Risk: High

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Kioxia Holdings

Bloomberg	285A JP
RIC	285A.T
Market cap (USD\$bn)	226
Average daily T/O (USD\$bn)	7.9

Late to The Party, Far from The Finale

We initiate coverage on Kioxia with a Buy rating and a target price of ¥200,000, based on 10x P/FCF and net cash. We forecast that earnings will expand 10x in FY27E and double again in FY28E, implying a 20x earnings increase over the three-year period from FY26 to FY28E. This rapid growth reflects surging eSSD demand driven by agentic AI workloads (KV cache & shared storage) and a favorable supply-demand balance in the 3D NAND market. We expect the eSSD market will triple between CY2025–2027E as hyperscalers scale storage capacity to meet agentic demand. On the supply side, we estimate mid 20% bit growth in CY26/27E. Excluding YMTC, bit growth would be several ppts lower, supporting a sustainable pricing outlook. Importantly, Kioxia is uniquely positioned among NAND peers (excluding YMTC) with available new cleanrooms that enable incremental supply and share gains. We expect Kioxia to generate significant amounts of cash which could lead to a meaningful capital return program and set the stage for its upcoming ADR listing. Risks to our call include more NAND capacity expansion by rivals and softer-than-expected end market demand.

NAND capex and supply remain benign

We estimate major SPES' revenue from 3D NAND will remain muted in CY26E and represent <40% of the peak investment cycle in CY20/21. Coupled with limited new available cleanrooms in CY26E/27E, we forecast global NAND bit growth will expand by the mid-20% each year. Among key suppliers, only Kioxia and YMTC have new wafer fabs for new NAND wafer supplies while others rely heavily on technology upgrades. Given YMTC's entity list status, we estimate the industry bit growth ex-YMTC would be several ppts lower than the overall bit supply growth.

Agentic AI demand on eSSD to create tightness in supply

Our industry survey reveals that CSPs, neo-cloud and storage specialists require significant amounts of eSSD, with an average bit demand of >50% annually in CY26E/27E. As such, eSSD could overtake smartphone as the No.1 application with a mid-40% share in CY26E and is likely to account for over half of the entire NAND market in CY27E. This trend mirrors the rapid growth of server DRAM, which we expect to account for over half of the whole DRAM market by CY27E. While eSSD in AI data centers requires extreme reliability and a long qualification process, it commands a significant price premium over consumer-grade NAND. Hence, a higher mix toward AI eSSD would enhance revenue and profitability meaningfully for NAND suppliers.

Rapid growth and capital return lead to outperformance

Besides the rapid growth, we estimate Kioxia could be generating ~\$90bn of cash in FY27E–28E, sufficient to support its capex, paydown all debts and return excess cash to shareholders as net cash is expected to balloon to \$70–80bn in FY28E, accounting for 30–40% of market cap.

KEY FINANCIAL AND VALUATION MATRIX

FYE Mar (JPY bn, Non-GAAP)	FY23A	FY24A	FY25A	FY26A	FY27E	FY28E	FY29E
Revenue (US\$ bn)	9.4	7.3	11.3	15.4	66.1	116.8	175.4
Revenue	1,282	1,077	1,706	2,338	10,565	18,681	28,070
OPN Profit	(67)	(254)	453	876	8,309	15,658	24,142
Net Profit	(116)	(245)	266	560	5,777	10,937	16,887
Non-GAAP EPS (¥), Diluted	(225)	(473)	505	1,019	10,514	19,905	30,733
Consensus Non-GAAP EPS (¥)	-	-	-	-	7,429	9,230	9,914
PER (X) Non-GAAP	NM	NM	130.4	64.7	6.3	3.3	2.1
PBR (X)	51.8	75.8	47.2	25.9	5.0	2.0	1.0
EV/EBITDA (X)	105.8	375.8	46.6	31.2	3.8	1.5	0.4
FCF yield	0%	0%	1%	1%	13%	39%	157%
Net cash % to Mktcap	1%	-3%	-2%	-2%	10%	35%	75%

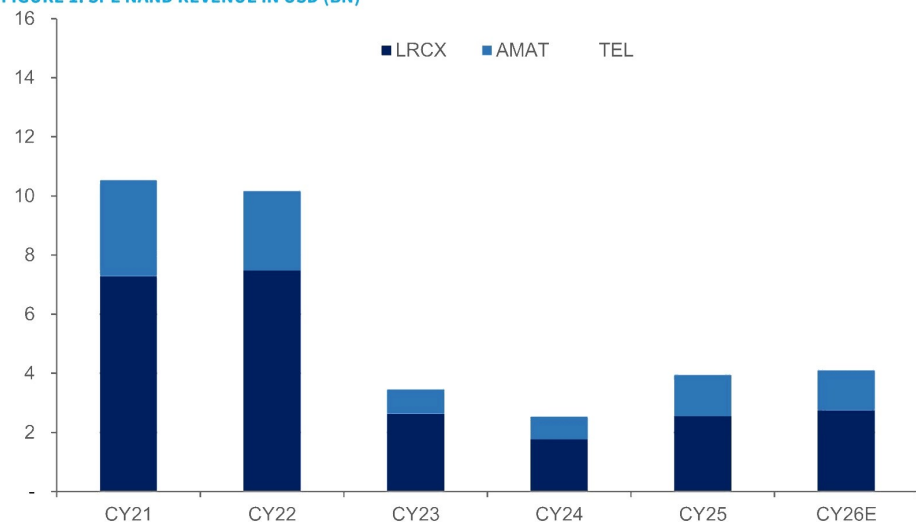
Source: Bloomberg, Aletheia/TAG

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NAND capex and supply remain benign

The figure below illustrates that capex for 3D NAND in CY25 and CY26E remains subdued. We estimate the aggregated NAND revenue from the top three SPEs, that is, Lam Research, Applied Materials and Tokyo Electron in CY25 and CY26E is likely to stay at \$5bn or below. This compares to the peak of the NAND investment cycle, – with the SPEs averaging \$12-13bn of annual NAND revenue – of a mere 35%! We estimate the industry may only add 3-4% of new capacity in CY26E and CY27E before a more noticeable 7-8% in CY28E. We note these estimates without considering the capacity shrink associated to technology upgrades, so the actual net add of capacity should be less than the stated figure above. The lack of cleanroom space as well as the new availability of cleanroom facilities shown in Figure 2 explains such low capex investment.

FIGURE 1: SPE NAND REVENUE IN USD (BN)



Note: YMTC was included in the US Entity List in December 2022

Source: Compines, Bloomberg, Aletheia/TAG

Of the brand-new cleanrooms available for commercial production in CY26-27E, our industry survey shows Kioxia's K2 at Kitakami, YMTC's Fab 2B and 3 in Wuhan. The existing cleanrooms with spare space include Kioxia's K1 at Kitakami, but the fab has reached over 90% capacity. In addition, we believe SK Hynix is likely to use the existing cleanroom space at its Fab 2 at Dalian, which has been idle for a long time before the new facility in Yongin is ready in CY2028E. One should note that Samsung has converted its P3/4L line from 3D NAND to DRAM in CY25/26. It remains to be seen if Samsung will revert these capacities back for 3D NAND in the foreseeable future.

For new cleanrooms in CY2028, we believe the big three will have new dedicated facilities for 3D NAND capacity expansion, such as Micron's site in Singapore, Samsung's PL5 and SK Hynix's Yongin cluster Fab1-P3/4. For the time being, they are likely to rely heavily on technology upgrades to increase bit supplies. This leads us to believe that the supply of NAND in CY26E/27E is likely to remain healthy before more new supply comes on stream.

We note that the SPE NAND revenue stated in Figure 1 is likely to be under-stated as YMTC was included in the entity list by the US Department of Commerce in December 2022. As such, US SPEC, likely LRCX and AMAT, along with other Western suppliers are prohibited from shipping tools to YMTC without approval from the US authorities. This partly explains the sharp falloff in global NAND capex since CY23, which has remained at a 'depressed' level in recent years.

However, despite the restriction, YMTC continues to expand its NAND capacity by relying on domestic Chinese tool vendors. As mentioned, in addition to the existing Fab 1, YMTC added Fab 2A in 2022/23 and expanded Fab 2B in CY2H26 and is scheduled to complete the building of a new Fab 3 wafer fab in 2HCY26. We estimate Fab 3 may support capacity of up to 50K wpm while the other half could be allocated to DRAM production.

FIGURE 2: ESTIMATED NET ADD OF NEW NAND WAFERS ('000 WPM) WITH RESPECT TO CLEANROOM AVAILABILITY (BOTH NEW AND EXISTING FACILITIES)

Supplier	Site	4Q24	4Q25	4Q26E	4Q27E	4Q28E	Remarks
Kioxia	K1	55K	55K	60K	60K	60K	Existing cleanroom
	K2	-	-	10K	30K	50K	New cleanroom
YMTC	Fab2B	-	-	40K	40K	40K	New cleanroom
	Fab3	-	-	-	25K	50K	New cleanroom
SK Hynix	DL-P2	-	-	-	10K	25K	Existing cleanroom
Samsung	P5L	-	-	-	-	25K	New cleanroom
Micron	New fab	-	-	-	-	25k	New cleanroom
Net add (4QY1 vs 4QY2)		-	-	55K	55K	110K	4Q25: 1.37m wpm

Source: TrendForce & Aletheia/TAG

Factoring in the new supply (that is, new and existing cleanrooms) and technology upgrades, we estimate the bit growth in CY26E/27E is in the mid-20% and could rise to the high-20% in CY28E with more supplies from more availability of new cleanrooms. Our forecast is slightly higher than market expectations of the low-20% (provided by memory vendors). It should be noted that when excluding YMTC, the bit growth is likely to be lower – that is, below 20% in CY26E. This is because YTMTC has been engaging in a rather aggressive capacity expansion plan in recent years, with bit growth averaging 50-60% annually since CY24.

For example, YMTC's monthly capacity and bit outputs exceeded Micron in CY25 and could be on a par with SK Hynix (together with Solidigm) in CY26E and may become the No.3 NAND supplier in terms of capacity in CY27E. We have assumed YMTC will further expand its bit output by 40% in both CY27E/28E given the new Fab 3 cleanroom due to be completed in 2HCY26E. Hence excluding YTMTC, we estimate global bit growth in CY27E/28E to be around the low-to-mid-20% range.

We note that the capacity shrinks in Figure 3 factor in the decommissioning of legacy 2D NAND facilities, such as Samsung's Line 12 at Hwaseong starting in late CY2025 and the upgrading of its sites at Xian to 3D NAND design in CY2025. Similarly, Kioxia has been upgrading the capacity at its legacy Yokkaichi site in CY25, as did Micron at its Singapore plant.

FIGURE 3A: ESTIMATED YOY CHANGE IN NAND CAPACITY AND BIT PRODUCTION

Supply parameters	2024	2025	2026E	2027E	2028E
Wafer capacity (YoY chg)	14%	-2%	-2%	0%	10%
Wafer capacity ex-YMTC (YoY chg)	13%	-4%	-5%	-4%	4%
Bit growth (YoY chg)	14%	13%	24%	24%	27%
Bit growth ex-YMTC (YoY chg)	12%	7%	17%	22%	23%

Source: TrendForce & Aletheia/TAG

As mentioned previously, US CSPs and OEMs aren't likely to engage (in fact they are prohibited from doing so) with [YMTC for NAND procurement due to its entity list status](#). As such, we believe one should consider YMTC's contribution on the supply side of the equation. Unlike its Asian peers, Kioxia has no NAND productions in China and its exposure to the Chinese market is approximately 20%, with the US and Europe accounting for half of the revenue. Japan and the rest of Asia-ex China contributed to the rest of 30%.

FIGURE 3B: ESTIMATED NAND CAPACITY (WPM) IN 4Q OF EACH CALENDER YEAR

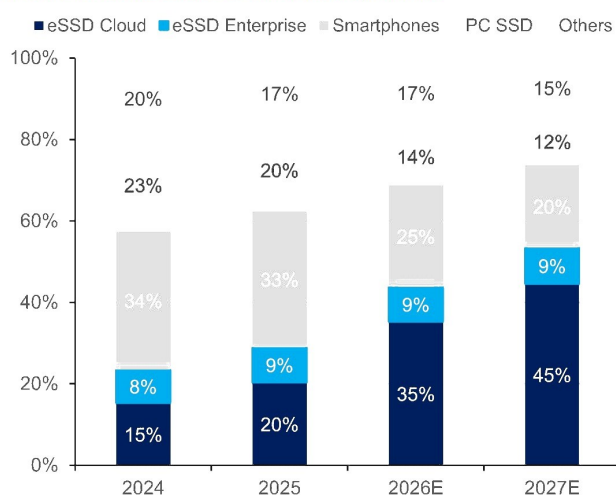
'000 wpm	4Q24	4Q25	4Q26E	4Q27E	4Q28E
Kioxia (90% 3D NAND)	460	400	418	423	428
Samsung (100% 3D NAND)	490	400	310	290	315
SK Hynix+Solidigm (85% 3D NAND)	235	217	230	193	228
Micron (80% 3D NAND)	155	130	130	125	145
YMTC (100% 3D NAND)	130	160	200	225	250
Total (>90% 3D NAND)	1,470	1,307	1,288	1,256	1,366

Source: TrendForce & Aletheia/TAG

It is all about cloud eSSD

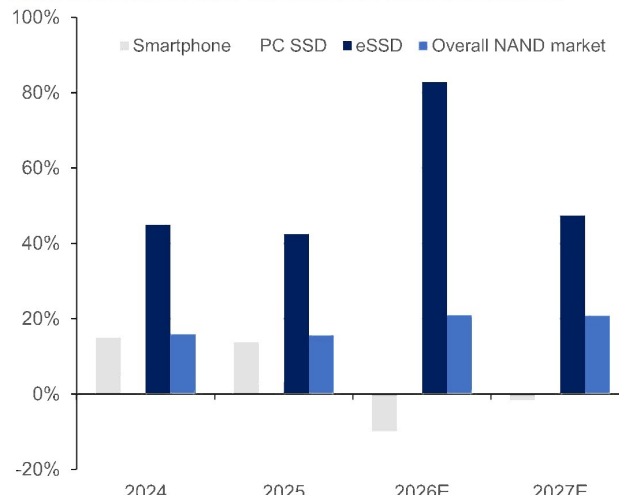
Similar to the DRAM industry, the demand for NAND is primarily driven by AI data centers and AI workloads. Our industry survey shows that the aggregate demand from CSP and storage specialists for eSSD is likely to triple to over 600,000 petabytes (PB) in CY2027E, up from 200,000PB in CY2025. As a result, we forecast eSSD Cloud will account for nearly half of the NAND market in CY27E, up sharply from just 20% in CY25. Together with the eSSD Enterprise segment, the eSSD would likely account for the mid-50% of the NAND industry in CY27E, up from the mid-40% in CY26E and high-20% in CY25. The significant change in NAND market demand can be illustrated by the bit growth in the figure below. On average, we estimate the entire eSSD market is growing at a CAGR of 50% CY2024-2027E, but the eSSD Cloud segment could be double of the growth rate. This compares to 20-25% for the whole NAND industry bit growth in the same period.

FIGURE 4: NAND DEMAND BY APPLICATION/MARKET



Source: Aletheia/TAG

FIGURE 5: ESTIMATED NAND BIT GROWTH BY SELECTIVE MARKETS



Source: Aletheia/TAG

Unlike server DRAM market demand, which is closely associated with server CPU shipments, admittedly, the forecasting for eSSD demand, especially from the hyperscalers, is more challenging. In the case of the former, we estimate average bit growth in the 40% in CY26/27E driven by $\pm 30\%$ server CPU unit growth and $\pm 10\%$ rise in density owing to the surge in agentic AI applications. However, the demand for NAND is less straightforward or, rather, we are unable to develop a model (at least for now) to predict the demand arising from agentic AI workloads. Instead, our approach is to conduct a periodic industry survey among the world largest buyers of eSSD and our sample includes the following:

FIGURE 6: KEY SAMPLE IN OUR eSSD DEMAND SURVEY

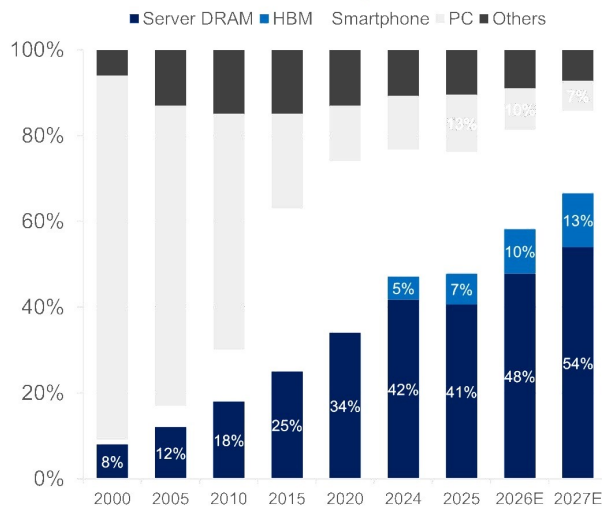
Types of sample	Sample
US hyperscalers	MSFT, Google, AWS & Meta
Neo-cloud, storage specialist	ORCL, xAI, Everpure, Vast Data
Chinese clouds	ByteDance, Alibaba, Tencent

Source: Aletheia/TAG

Among them, we think MSFT could be the largest buyer of eSSD, with its procurement size approaching 100,000PB in density by CY27E. This is followed by Meta, AWS and Google. Similarly, new cloud suppliers such as Oracle and xAI are also growing at a rapid pace, so are the Chinese cloud vendors. We note that our survey hasn't fully captured the demand from new-cloud firms such as CoreWeave, Crusoe, IREN, Lambda and Nebius etc which are expecting to use NVDA's BlueField4 CMX/STX storage racks to be available for commercial shipment in 2HCY26E.

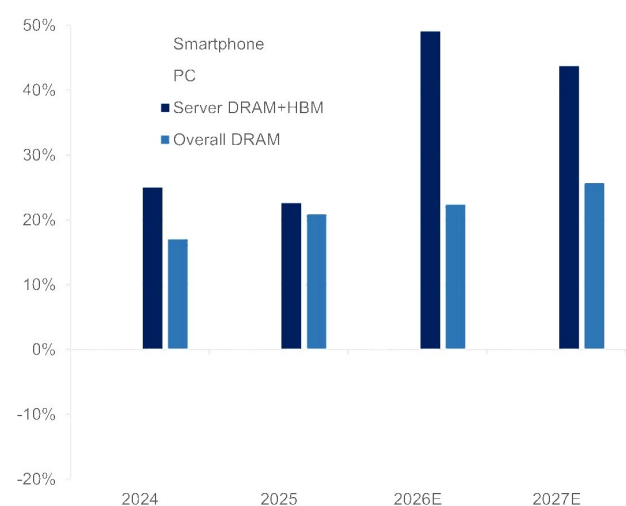
We think the results of our research approach on eSSD are consistent with the outcome of our server DRAM demand model driven by agentic demand. As shown in the figures below, we expect server DRAM bit growth to rise by ~40% in both CY26/27E and is likely to account for half of the entire DRAM market. Coupled with HBM, the mix could reach two-thirds in CY27E. These compared to mid-to-high-40% in CY24/25 period.

FIGURE 7: DRAM DEMAND BY APPLICATION/MARKET



Source: Aletheia/TAG

FIGURE 8: ESTIMATED DRAM BIT GROWTH BY SELECTIVE MARKET



Source: Aletheia/TAG

Latest trends in eSSD/3D NAND industry

The following sections are references from [NVDA's](#) and [Kioxia's](#) latest technical papers with respect to the application of eSSD/NAND in the modern AI data center and more specific to agentic AI workloads. We have summarized the publications with easy-to-understand text and language.

The role of Key-Value cache (KV cache)

AI systems are becoming more complex. They are moving from basic chatbots to agents that can handle multi-step tasks. Modern models now have trillions of parameters and can process millions of words at once, generating large amounts of tokens and requiring huge computing power – this is we refer to as AI scaling. Unlike old chatbots, these agents need memory – they must remember past conversations, tools, and results, and reuse that information later, instead of starting afresh each time.

A typical large-scale AI may require several types of memory and one of the rapid emerging forms is Key-Value (KV) cache. A KV cache is a special type of memory: it is vital for performance, but temporary. In agentic systems, it acts like temporary 'long-term memory' and can be reused across many steps instead of being discarded after one response.

KV cache stores what has already been processed so the model doesn't have to start over each time which would require far more compute and power. Critically, as conversations get longer, KV cache grows, and must be saved and shared across different services. Besides, efficient reuse and storage of KV cache is therefore critical for performance, otherwise AI operators could face higher power use, rising costs per token, and underused GPUs.

In a typical AI hardware, one can find several types of storage hierarchy consisting of HBM, DRAM, local eSSD and shared storage. The former two are built for speed and bandwidth, while the local SSD is designed for warm KV cache reused over short timescales and tied to a single node with limited scalability. The storage is used for cold artifacts, with durable results not on the immediate critical path.

As context grows, the needs of KV cache quickly overwhelms the local tier, that is local eSSD and extending down to storage. However, the farther the KV cache moves from the GPU, the slower and more expensive the system becomes. As KV cache spills into DRAM and SSDs, latency rises and energy per token increases. Moreover, while shared storage offers vast amount of density, its millisecond-level latency makes it unsuitable for active or frequently reused KV cache.

To resolve these issues, NVDA introduced Context Memory eXtension (CMX) technology designed specifically for agentic workloads. CMX is a purpose-built memory solution to bridge the gap between high-speed GPU memory and scalable shared storage. Essentially, CMX acts as a dedicated infrastructure layer that stores and serves an AI model's KV cache (it is an active working memory) during long-context, multi-turn, and agentic AI interactions. It is a POD-level, network-attached (via BlueField DPU and Spectrum Ethernet) ultra-fast flash eSSD optimized purely for the transient nature of a KV cache.

Instead of making the GPU re-process the entire conversation history every time a user sends a new request, hence requiring more compute power, CMX performs the work once and stores the results in its own memory tier. It can quickly stream them back to the GPU whenever they're needed for the next prompt.

By avoiding decoder stalls and redundant history recomputations, NVDA claims that CMX delivers up to 5x higher tokens-per-second (TPS) and up to 5x better power efficiency compared to passing KV data through traditional network file servers. The CMX technology is commercially available in 2HCY26E via the BlueField-4 STX storage rack. It should be noted that a typical NVDA Super POD consists of eight storage racks (STX) with a mix of fast KV cache rack vs storage rack at a 1:3 or 1:4 ratio depending on AI workloads. Each storage rack can support up to 1.2PB of density on a PCIe6 interface or 614TB on PCIe5. Besides a STX storage rack, an SSD is also used in NVL compute racks which can house up to 61.4TB of density per tray or 1.1PT per NVL72 rack.

KV cache storage vs shared storage

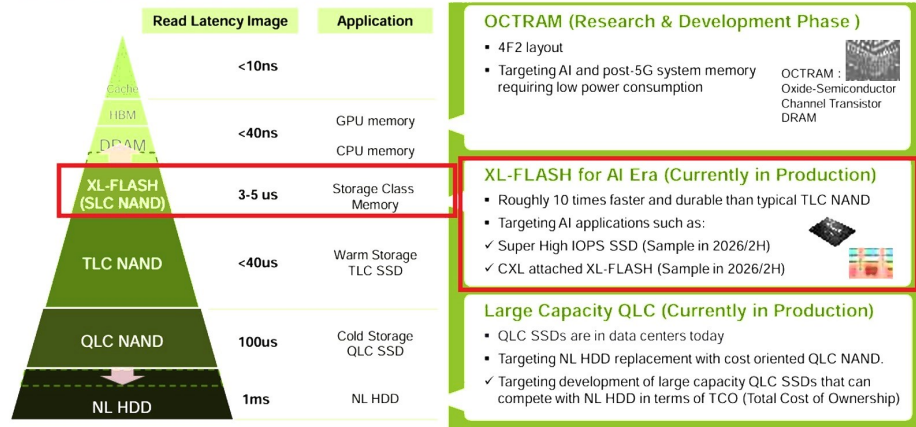
To support [NVDA's CMX technology, we believe Kioxia](#), by leveraging its proprietary XL-Flash storage-class memory, [is the leading storage partner](#). The XL-Flash is an MLC/SLC-based call NAND combined with its in-house speediest controller to deliver super High IPOS (Input & Output Operations) SSD. This class of SSD can operate at 10m IPOS, 5-10x faster than the current mainstream storage SSD which is based on QLC technology. Kioxia is also developing a third generation of XL-Flash with an even faster 100m IOPS SSD to be available in CY2027. This is to support NVDA's next generation of Storage-Next architecture.

This type of specially designed SSD drive is able to deliver lower latency, higher input/output performance, 512-byte data access granularity (similar to GPU), and lower power need per I/O than its conventional TLC/QLC SSDs. It acts as a direct physical extension to a HBM and server DRAM (in an AI system), rather than a deep data repository. Such a high-speed feature makes XL-Flash (GP series SSD) an ideal KV cache solution for NVDA's CMX storage technology.

However, as it's based on MLC/SLC cell design, the trade-off is the density. Kioxia's GP series SSD usually offers 800GB/1,600GB of density, significantly below its inference-purposed CM9 SSD of 25.6TB and shared storage (LC9 SSD) of 245.8TB in a single drive. However, one should note that the HBM density in the upcoming Rubin GPU is a mere 288GB per stack in 2HCY26. So, relative to cost, density and latency, the XL-Flash is a viable solution for KV cache.

Figure 11 illustrates the details of a typical NVDA Super POD as well as associated memory type and density. It consists of eight storage racks (STX) with a mix of the fast KV cache rack vs storage rack at a 1:3 or 1:4 ratio depending on AI workloads. Each storage rack can support up to 1.2PB of density on PCIe6 interface or 614TB on PCIe5. Besides, SSDs are also used in NVL compute racks, which can house up to 61.4TB of density per tray or 1.1PB per rack.

FIGURE 9: KIOXIA'S 3D NAND TECHNOLOGY



Source: Kioxia

FIGURE 10: KIOXIA eSSD STORAGE CLASS PRODUCTS

Feature/Metric	GP SSD	CM9 SSD	LC9 SSD
AI workloads	Ultra-Fast KV cache	Training & inference	Shared storage
Hardware location	CMX/STX storage rack	NVL compute rack	CMX/STX storage rack
Flash technology	SLC/MLC (1/2 bits)	TLC (4 bits)	QLC (8 bits)
Max capacity/drive	1.6TB	61.4TB	245.8TB
Speed	10M-100M IPOS	3.4IPOS	<1.5IPOS
Read Latency	3-5uS	<40uS	100uS
Data chunk	512byte ¹	4,000byte	Up to 16,000byte
Reliability	Extremely high	1-3DWPD ²	Up to 0.3DWPD ²

Note: 1-matching GPU data chunk handling. 2-Drive writes per day. A 60TB drive rated at 3DWPD implies 180TB of write data every day for 5 years.

Source: Kioxia, Aletheia/TAG

FIGURE 11: DETAILS OF nVIDIA's NVL SUPERPOD STRUCTURE AND MEMORY CONTAIN

Devices	VR NVL72 rack	Vera CPU rack	Groq LPX rack	BF4 STX (storage) rack	Spectrum-6 SPX (networking) rack
GPU	72x	-	-	-	-
CPU	36x	256x	-	-	-
BF4 DSP	18x	-	-	72x	-
LPU	-	-	256x	-	-
NVLink	18x	-	-	-	-
SP6	-	-	-	-	16
Density (GB)	VR NVL72 rack	Vera CPU rack	Groq LPX rack	BF4 STX (storage) rack	Spectrum-6 SPX (networking) rack
HBM	20,736	-	-	-	-
DRAM	56,304	384,000	16,384 ²	9,216	-
SSD	320,256 ⁴	-	-	1,188,864 ⁴	-
SRAM	100 ¹	131 ¹	147	18 ¹	3 ¹
NVL SuperPoD	VR NVL72 rack	Vera CPU rack	Groq LPX rack	BF4 STX (storage) rack	Spectrum-6 SPX (networking) rack
	16x	2x	10x	8x	4x
Total Density (TB)	VR NVL72 rack	Vera CPU rack	Groq LPX rack	BF4 STX (storage) rack	Spectrum-6 SPX (networking) rack
HBM	332	-	-	-	-
DRAM	901	768	164	74	-
SSD	5,124 ⁴	-	-	9,511 ⁴	-
SRAM	1.59 ¹	0.26 ¹	1.48	0.15 ¹	0.10 ¹

Note: 1- embedded SRAM (L1-L3) in logic/ASIC. The memory content value doesn't include this segment. 2-max DRAM density configuration. 3-BF4 DSP uses the same compute core as Vera CPU. 4 - a typical SSD density but can support up to 1.2PB per rack of 19.2PB in density. STX rack may support only fast KV cache (max density 51.2TB) or storage SSD.

Source: nVidia (2026 GTC) and Aletheia/TAG

Company analysis

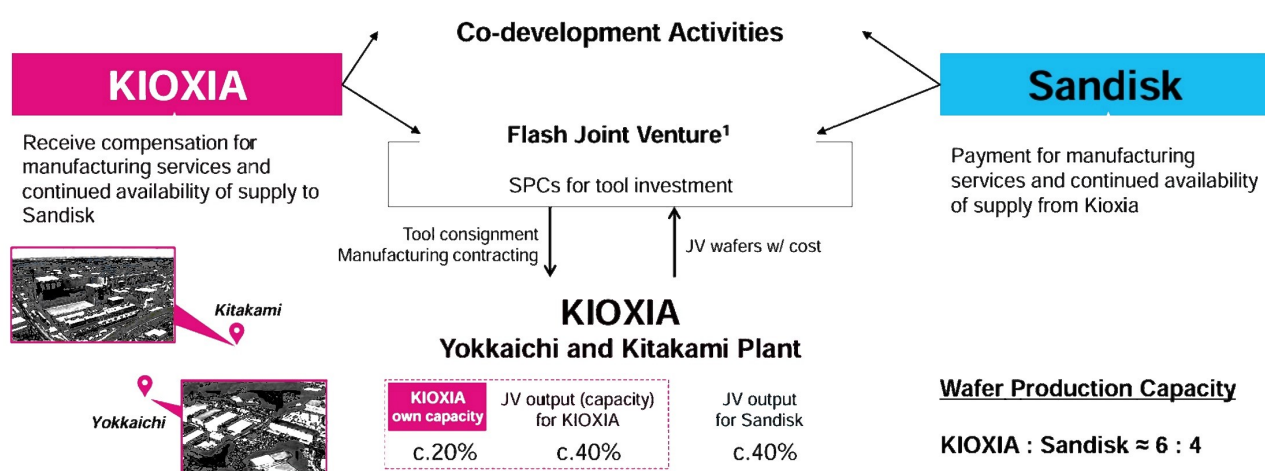
Kioxia and Sandisk joint venture

At over 25 years, the strategic joint venture between the Kioxia Corporation and Sandisk is one of the longest running alliances in the semiconductor industry and has the world's largest flash memory manufacturing footprint. The joint venture between Kioxia and Sandisk is structured through three entities: "Flash Partners Ltd.", "Flash Alliance Ltd" and "Flash Forward Ltd" (Collectively known as Flash Ventures) across seven flash-based manufacturing facilities in Japan and an eighth facility soon to start production in 1HCV26. Six of the fabs are based in Yokkaichi and two are located in Kitakami. The ownership of the Flash Ventures is split 50/50 between Kioxia and Sandisk. The two companies co-develop flash technologies including process technology and memory design. These co-developed technologies are manufactured using equipment owned or leased by Flash Ventures.

In the joint venture's current structure, Kioxia retains 100% ownership of the land and the wafer manufacturing facilities at the Yokkaichi and Kitakami complexes. The capital expenditure on actual cleanroom tools and wafer fabrication equipment is funnelled through Flash Ventures through a ~50/50 contribution from Kioxia and Sandisk. These wafer manufacturing facilities provide manufacturing services to Flash Ventures at cost. Kioxia and Sandisk are entitled to purchase, equal to 50% each of Flash Ventures' outputs. Kioxia and Sandisk pay cost plus markup to Flash Ventures for flash memory wafers. Sandisk is obligated to pay for half of Flash Ventures' fixed costs irrespective of the output purchased. This makes Kioxia a strategically stronger partner.

Flash Ventures accounts for 80% of the total manufacturing capacity in the facilities owned by Kioxia whereas the other 20% of the capacity is wholly owned by Kioxia. This makes Kioxia entitled to 60% of total capacity while 40% belongs to Sandisk. This distinction makes Kioxia strategically superior as it owns 60% of overall capacity with a 50% stake in the joint venture. As for R&D costs, Kioxia and Sandisk run a dual-track system. Kioxia funds fundamental early-stage research in material science and transistor design. Once these fundamental technologies mature, they are integrated into the joint R&D pipeline where both companies split the R&D cost followed by the cost of mass production.

FIGURE 12: STRUCTURE OF JV AND PARTNERSHIP BETWEEN KIOXIA AND SANDISK



Kioxia controls 100% of wafer manufacturing process

Kioxia also:

- Accumulates manufacturing/operation know-how
- Contributes the majority of necessary engineering resources
- Owns 100% of facility sites and infrastructure

Source: Kioxia

The joint venture agreement between Kioxia and Sandisk (prior WDC) is structured much differently than traditional agreements as it is designed to govern a decade-long partnership rather than short-term supply agreements. Other than this, the contract focuses on share investments, output allocation and shared governance rather than a straightforward supply guarantee contracts.

In January 2026, Kioxia and Sandisk agreed to extend their joint venture agreement. In the extension agreement, Sandisk committed to pay Kioxia a manufacturing service fee of ~\$1.2bn to by CY2029 tied to fab expansion and technology milestones. This fee secures Sandisk's guaranteed share (~40%) of wafer output from the Yokkaichi and Kitakami fabs. Another aspect of this new contract is to align contract timelines. In earlier contracts, different fabs within the alliance operated under staggered timelines. Under the new contract, the Yokkaichi agreement, which was set to expire in CY2029, was extended to the end of CY2034 to align with the newer Kitakami plant contract that has the same expiration date.

Capacity expansion plan

FIGURE 12: KIOXIA'S YEAR-END CAPACITY (IN '000 WPM)

FYE-Mar ('000 wpm)	4Q24	4Q25	4Q26	4Q27E	4Q28E	4Q29E
Yokkaichi Plant	390	395	395	385	385	385
capacity addition		-	-	-10	-	-
Kitakami Plant	-	55	55	75	95	120
capacity addition		55	-	20	20	25
Total Wafer Capacity	390	450	450	460	480	505
Annual bit growth YoY	11%	22%	17%	23%	23%	21%

Source: Aletheia/TAG

Kioxia's capacity expansion plan is centered on scaling NAND output at its Yokkaichi and Kitakami sites. We expect this capacity expansion will drive the company's NAND output in bit shipment to double by FY2029 from its FY2024 levels. The Yokkaichi complex in Mie Prefecture is already the world's largest NAND manufacturing hub, with current capacity at 395k wafers per month. Though we expect the plant's overall capacity to remain stable, continuous cleanroom upgrades will support the ramp-up of advanced technologies such as BiCS8 (218-Layers) and BiCS10 (332-Layers). This transition from legacy to advanced technologies will drive NAND output in bit shipments.

On the other hand, the Kitakami site in Iwate Prefecture will drive the actual new capacity for Kioxia in future. Kitakami Fab 1, which started operations in 2024, is already producing advanced technologies (BiCS8 and above) at full capacity. Kitakami Fab 2 (K2), developed under the Flash Ventures partnership with Sandisk, is scheduled to begin commercial operations in 2HFY26 with a focus on BiCS8 NAND. This fab will add significant incremental capacity due to the availability of new cleanroom space. We expect the Kitakami plant's capacity to double at 120k wpm by FY2029 compared to the current level of 55k wpm.

Financially, government subsidies and capital commitments through the JV with Sandisk underpin the expansion plan. Japan's Ministry of Economy, Trade and Industry (METI) has offered subsidies exceeding ¥150 bn in recent years to support NAND production at Kioxia's fabs. On the JV side, Sandisk has committed \$1.2bn in pre-payments between CY26 and CY29 to secure its share of output and contribute to the capital burden of new fabs. This dual-support structure allows Kioxia to pursue scaling without bearing the full financial risk alone. Importantly, Kioxia has disclosed that CY26 production is already fully booked, underscoring the strength of demand and the necessity of its expansion roadmap.

Product mix and ASP trend

We project Kioxia's revenue will grow significantly in the next several years driven by the surge of ASP and moderate bit growth. In FY27E, we estimate the overall topline to quadruple to \$66bn or ¥10.6tn, up sharply from FY26's \$15.4bn/¥2.4tn. This is followed by further 70-80% growth in FY28E to revenue of \$117bn or nearly ¥19tn. The sharp growth is predominantly due to the anticipated strong demand from eSSD (cloud and enterprise) driven by agentic AI workloads highlighted in the previous section.

We forecast eSSD revenue to jump by over sixfold in FY27E (to \$3.4bn or ¥5.5tn) and more than double to \$7.5bn (or ¥12tn) in FY28E. The strong growth is driven by both the bit growth (with high volume allocation) as well as the surge in ASP where eSSD pricing commands a significant premium over consumer-related NAND as shown in the figure below. It is worth noting that we believe Kioxia is still likely to allocate capacity to support Apple's iPhone and therefore assume mid-teen bit growth for smart devices in the next several years.

FIGURE 13: BIT GROWTH AND ASP ASSUMPTIONS FOR KIOXIA'S REVENUE MODEL

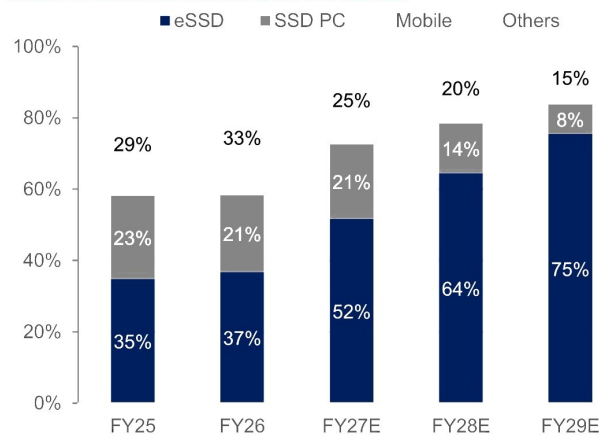
Bit growth	FY25	FY26	FY27E	FY28E	FY29E
eSSD	NA	18%	80%	75%	65%
SSD PC	NA	17%	5%	-4%	-16%
Smart devices	NA	16%	17%	15%	5%
ASP YoY chg	FY25	FY26	FY27E	FY28E	FY29E
eSSD	NA	22%	236%	26%	7%
SSD PC	NA	8%	297%	23%	7%
Smart devices	NA	30%	181%	27%	8%

Note, Kioxia only provides the revenue breakdown by application from FY26.
Source: Company, Aletheia/TAG

As a result, we expect the revenue and product mix for Kioxia to undergo significant change in the next couple of years. In fact, in 4Q26, eSSD sales (DC and enterprise) grew over 3x YoY to become the largest revenue driver, contributing 42% of group sales. We believe this trend is likely to accelerate in FY27E/28E to account for 52% and 64% of overall revenue in FY27E/28E, respectively. Conversely, consumer electronics revenue is likely to retreat to one-third of the business in the coming years, down from over half in FY25 and FY26.

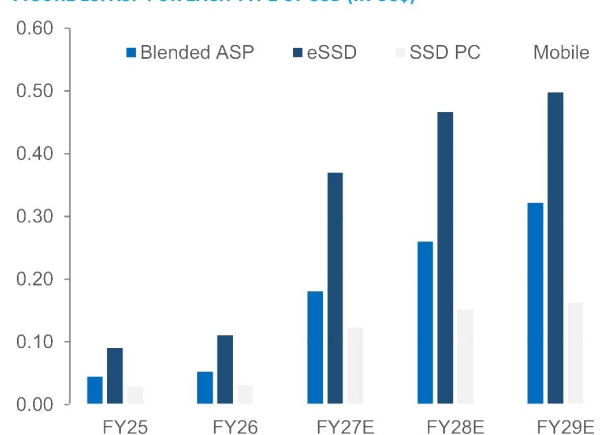
It is also worth noting that as Kioxia shifts focus to the eSSD market, its blended ASP is likely to increase as the ASP for eSSD is meaningfully higher than that of consumer-grade NAND. We estimate Kioxia's blended ASP in FY26 was \$0.052 per 1GB but is expected to jump to \$0.18 and rise further to \$0.26 per 1GB in FY27E/28E respectively, factoring in the expected price hike. Still, at a blended ASP of \$0.26, it remains vastly below today's eSSD of \$0.40-0.50 in ASP.

FIGURE 14: REVENUE BREAKDOWN BY PRODUCT



Source: Kioxia & Aletheia/TAG

FIGURE 15: ASP FOR EACH TYPE OF SSD (IN US\$)



Source: Kioxia & Aletheia/TAG

Financial forecasts

► For FY27E, we forecast consolidated revenue of ¥10.6tn (\$66.1bn), up 3.5x on a YoY basis. In the same period, we expect non-GAAP EPS to increase by 9.4x to ¥10,514. Our forecasts are based on a strong 3D NAND demand environment as agentic AI adoption increases. We expect steady growth in bit shipment (23% YoY) and a significant price appreciation (~250% YoY). For FY28E, we forecast revenue of ¥18.7tn (\$117bn) up 77% YoY, while non-GAAP EPS is expected to expand by 80-90% YoY to ¥19,905. Our EPS forecast reflects the ongoing solid demand (23%-bit growth) and ASP surge (40-50%) and Kioxia's ability to maintain class-leading cost control and a richer product mix.

► Our forecast for FY27E non-GAAP EPS (¥10,514) is 40-50% ahead of consensus (¥7,429) whereas our revenue estimate is 15% ahead and our gross profit margin is 180bps higher. Our FY28E forecast is significantly ahead of consensus. Our non-GAAP EPS (¥19,905) forecast for FY28E is well ahead of consensus (¥9,230) and our gross profit margin is 700-800 bps higher than the Street's. Our sales forecasts are 15%/90% ahead of consensus for FY27E/FY28E.

► We expect the company's FY27E capex to be ¥475bn (\$3bn), which is ~70% more than FY26. We expect Kioxia to boost capex to factor in rapid capacity expansion of the K2 fab at the Kitakami plant and the R&D works at Yokkaichi Fab 7. We expect the K2 fab to reach full capacity by March CY2029. For FY28E, we expect capex to be ¥747bn (\$4.7bn), up 50-60% YoY.

► We forecast Kioxia will generate ¥4.8tn (\$30bn) of operating cash flow in FY27E, followed by nearly ¥10tn (\$62bn) in FY28E. We think this significant uptick in operating cash flow on the back of strong margin appreciation would support its capex expenditure, enable the company to repay its long-term debts and open up avenues for healthy shareholder returns in terms of dividends and buybacks in future which we explain in detail below.

Kioxia's US board members to support shareholder returns

Kioxia has never paid a dividend since it was spun off from Toshiba in 2018, as the company funnelled 100% of its cash into capital-intensive R&D and cleanrooms investments to keep pace with Samsung and SK Hynix. After recording profits in both FY25 and FY26, management announced at its recent results meeting that it will prioritize dividend payouts starting in FY27E and allow for potential flexible buybacks. Based on its board composition and its board members' track records, we believe Kioxia will be adopting both dividend payouts and buybacks once it sees significant excess cash starting in FY27/28E, while we expect it to announce details of its capital return policy during its Investor Day on June 2.

FIGURE 16: BACKGROUNDS OF KIOXIA BOARD MEMBERS

Board Member	Position	Background
Hiroo Ota	President and CEO	Spent his entire 40-year career in the semiconductor industry at Toshiba and Kioxia, previously serving as executive vice president and vice president of the Memory Division
Stacy J. Smith	Director and Executive Chairman	Spent 30 years at Intel, serving as CFO, president of manufacturing and various management roles
Yuji Sugimoto	Director	The Japan Representative and head of Asia Private Equity for Bain Capital
Masashi Suekane	Director	Suekane is a partner and head of Japan Healthcare, Industrials and Financial Services at Bain Capital
Hiroshi Suzuki	Independent Outside Director	Served for many years as the director, president & CEO of HOYA Corporation, a company often recognized in the industry for its high capital efficiency and focus on margins
Michael R. Splinter	Independent Outside Director	He is a former chairman of Nasdaq and CEO of Applied Materials. Splinter has extensive experience as an executive at global semiconductor companies listed overseas
Emiko Higashi	Independent Outside Director (Candidate)	Background in investment banking and consulting, served as managing director at Merrill Lynch & Co. and as a director for companies like Takeda Pharmaceutical and Rambus Inc

Source: Aletheia/TAG

The new CEO Hiroo Ota has stated that Kioxia will optimize its capital allocation to make growth investments and will also consider shareholder returns at the right time, therefore the company is currently evaluating dividends and share buybacks to meet market expectations. During his tenure as Intel's CFO, Kioxia's board's chairman Stacy J. Smith, maintained a steadily increasing dividend, with a 30% CAGR during 2003-2012. He also executed massive share buybacks including a \$14.1bn share buyback in 2011 alone.

Under Hiroshi Suzuki's 22-year (2000-2022) tenure as CEO, HOYA maintained a consolidated dividend payout ratio of 29.7%. He also typically announced one to three rounds of buybacks every fiscal year, usually ranging from ¥20 billion to ¥60 billion per tranche. Suzuki enforced a strict "Buy and Cancel" policy. HOYA routinely cancelled almost all repurchased shares, permanently boosting EPS and ROE for long-term investors. Under Suzuki's policy for the appropriation of retained earnings, HOYA achieved a TSR indexed at 199 (relative to a 100-point principal in March 2015), which significantly outperformed the Tokyo Stock Price Index (TOPIX) TSR of 102 over the same period.

During Splinter's tenure as Applied Material's CEO (2003-2013), he kept a target payout ratio between 15% to 25%, avoiding raising the dividend to unsustainable levels during peak cycle years to ensure it wouldn't need to be cut during a wafer-fab equipment (WFE) spending freeze. Splinter frequently executed \$2bn to \$4bn share repurchased programs over 12-to-24-month spans). When revenue fell during industry soft patches (like the 2008-2009 financial crisis), aggressive buybacks allowed AMAT to shrink its total share float, so when the market recovered, EPS rebounded exponentially faster than raw net income.

As chairman of the board of Nasdaq (2017-2022), Splinter set a payout ratio target was 35% to 40%. Nasdaq bought tech businesses aggressively (like the landmark acquisition of Cinnober in 2019), with the board adjusting buybacks depending on corporate debt levels. Nasdaq achieved a three-year cumulative TSR of 64.7% (ending in 2019), which significantly outperformed the S&P 500 during that cycle.

We believe the two Bain Capital representatives support shareholder return, given their major shareholder position of about 22.6% (removing SK Hynix's convertible bonds within Bain's Cayman Islands' vehicles). Including convertible bonds, SK Hynix owns about 14.4%, while Toshiba owns 16%. We think Bain will definitely support an official, predictable dividend policy which makes Kioxia stock eligible for large Japanese and global income/value funds, creating the largest secondary market liquidity and this may allow Bain to exit its remaining stake in Kioxia smoothly eventually.

Toshiba has steadily reduced its stake in Kioxia, from 30.5% at the time of listing in December 2024, to 16.1% now through the sale of approximately 68mn shares. The divestment generated a combined gain of ¥2.28 trillion, which the company recognized in its financials. This substantial capital inflow enabled Toshiba to fully repay its high-risk loans, significantly strengthening its balance sheet. As a result, total outstanding borrowings were effectively reduced by half. We note that HOYA also completely disposed of its 3% stake in Kioxia post listing. At the time of writing, we estimate Kioxia's free float is approximately 47%, factoring in the stakes of Bain, Toshiba and SK Hynix.

FIGURE 17: KIOXIA'S MAJOR SHAREHOLDERS

Major shareholders	Pre-listing	Post-listing	Current
Bain Capital (combined SPCs)	41.5%	22.6%	22.6%
Toshiba	40.6%	30.5%	16.1%
SK Hynix	14.7%	14.7%	14.1%
Hoya	3.1%	3.0%	-

Source: Company, Bloomberg, Aletheia/TAG

Excess cash could induce takeover risk

An oversized cash balance can turn a semiconductor company into an attractive target for a hostile takeover or activist-driven forced acquisition. Chip companies could generate massive free cash flow during cyclical peaks, so cash hoarding is common.

A good example was in 2017-2018, where Qualcomm had spent years hoarding tens of billions of dollars in offshore cash to avoid U.S. repatriation taxes. Simultaneously, its stock price was heavily depressed due to a massive, global legal battle with Apple over licensing royalties. Broadcom recognized that Qualcomm was a "fat cat" and launched a massive \$117 billion hostile takeover bid, with its explicit strategy to use debt to buy Qualcomm, and then immediately use Qualcomm's immense balance sheet cash and robust cash flows to pay down that debt. Institutional shareholders tired of Qualcomm hoarding cash rather than buying back stock, heavily supported the deal. Only an unprecedented U.S. presidential executive order citing national security concerns (CFIUS) stopped it in its final hour.

At the same time, Qualcomm tried to buy NXP Semiconductors for \$38bn. NXP was sitting on a highly liquid balance sheet. Activist hedge fund Elliott Management realized the initial buyout price underrepresented NXP's cash position and underlying value and bought a massive stake in NXP, essentially holding the deal hostage and forcing Qualcomm to raise its offer by 11% to \$44bn.

FIGURE 18: TAKEOVER RISK LEVELS BASED ON CASH TO MARKET CAPITAL RATIO

Cash-to-Market Cap	Risk Level	What it Signals to the Market
< 10 %	Low / Defensive	Lean operational sheet. The company is actively investing in fabs (Capex) or aggressively returning cash via buybacks/dividends (like Onsemi returning 100% of FCF).
15% - 25%	Standard Chip Cycle Buffer	Normal for a cyclical chip maker. This provides a "rainy day" cushion to survive a severe memory or logic downturn without cutting R&D.
30% - 45%	Elevated Takeover Risk	The Danger Zone. Management is hoarding cash. It implies they either lack strategic M&A ideas or are failing to execute buybacks. The balance sheet is dragging down their ROE.
> 50%	Extreme Predator Target	The Corporate "arbitrage" Zone. If over half of your market cap is liquid cash, an acquirer can purchase your company at a premium, clear your debt, and absorb your business for pennies on the dollar.

Source: Bloomberg Activism Screening Model & Aletheia/TAG

Private equity firms (like Bain Capital) and forward-thinking CEOs (like Hiroshi Suzuki at HOYA) push hard for share buybacks in Japan to prevent this risk. In FY28E, we are estimating the net cash to market cap ratio for Kioxia may reach 30-40% in FY28E shown in figure below, Kioxia's cash-rich position will elevate its takeover risk, therefore impactful share buybacks and dividend payouts will be required to prevent these risks.

FIGURE 19: SELECTED FINANCIAL MATRIX FOR KIOXIA

Key financial (¥ in bn)	FY25	FY26	FY27E	FY28E
Operating cash flow	476	617	4,790	9,958
Free cash flow	253	335	4,315	9,210
Net chg in cash	-20	303	3,840	8,654
Net cash	-789	-738	3,437	12,426
Net cash % to mktcap	-2%	-2%	10%	35%
FCF yield	1%	1%	13%	39%
Net cash per share (¥)	-1,494	-1,344	6,255	22,615
FCF per share (¥)	475	611	7,853	16,763
Non-GAAP EPS (¥)	505	1,019	10,514	19,905

Source: Kioxia, Aletheia/TAG

Valuation

Our target price of ¥200,000 is based on 10x FY28E P/FCF (equity) and net cash. We project FCF/share in FY27E/28E will be ¥7,853/¥16,763 respectively, while net cash per share will be ¥6,255 and ¥22,615 in the same period. While memory prices and vendors earnings have been volatile historically, we believe the surging demand from agentic AI is likely to result in more predictable earnings and cash flow as CSP as well as OEMs are keen to come to LTAs (covering ASP and volume), allowing memory suppliers more visibility to plan for long-term capacity expansion and hence potentially deliver better earnings outlook and more stable cash flow.

In fact, in recent years, Kioxia has been generating respectable FCF of ¥253bn/¥335bn in FY24/25 respectively, as it grew its business steadily while maintaining its capex prudently. We note its FCF in 4Q26 alone amounted to ¥241bn or \$1.5bn, accounting for over 70% of its entire FY26 FCF generation! As a result, its financial strength has improved dramatically, with its net debt being reduced to ¥552bn in 4Q26, down from ¥912bn in 1Q26 of and compared to ¥1.2tn in 1Q25! As the NAND market continues to improve dramatically driven by agentic AI, we forecast Kioxia FCF will further surge to ¥4.3tn FY27E (\$3bn), up nearly 13x YoY and more than double again in FY28E to ¥9.2tn (\$4.7bn). These figures suggest an FCF yield of 13% and 39% for FY27E/28E projections, respectively.

Should our forecast turn out to be correct, we project Kioxia balance sheet is set to turn to net cash of ¥3.4tn (\$21bn) in FY27E and ¥12.4tn in FY28E (\$78bn). This represents 10%/35% of its market capitalization for its project net cash amount in FY27E/28E. This sets the stage for Kioxia to announce its first-ever capital return policy at its upcoming investor event. Our model doesn't factor in the capital management initiative, but we believe there is a 'tangible value' to its cash and thus it is reasonable to include it as part of the valuation framework.

FIGURE 20: SELECTED FINANCIAL MATRIX FOR KIOXIA

Key financial (¥ in bn)	FY25	FY26	FY27E	FY28E
Operating cash flow	476	617	4,790	9,958
Free cash flow	253	335	4,315	9,210
Net chg in cash	-20	303	3,840	8,654
Net cash	-789	-738	3,437	12,426
Net cash % to mktcap	-2%	-2%	10%	35%
FCF yield	1%	1%	13%	39%
Net cash per share (¥)	-1,494	-1,344	6,255	22,615
FCF per share (¥)	475	611	7,853	16,763
Non-GAAP EPS (¥)	505	1,019	10,514	19,905

Source: Kioxia, Aletheia/TAG

By any measure, Kioxia remains the most attractive among its peers in both absolute and relative terms as shown in the figure below. We note that because Kioxia incurs a 30% corporate rate in Japan compared to an average in the mid-teens-to-twenties for many of its peers, it exhibits the most attractive EV/EBITDA multiple to its competitors. Kioxia is also at a discount to its closest peer (as well as partner) – Sandisk – despite the former having more revenue, a larger market share as well as more valuable tangible asset i.e., wafer fabs. We believe with the listing of ADR shares, the discount should narrow or reach parity.

FIGURE 21: PEER VALUATION MATRIX

As of 29 May '26			PER		PBR		EV/EBITDA		P/FCFE/share	
	FYE	Mktcap	FY1	FY2	FY1	FY2	FY1	FY2	FY1	FY2
Kioxia ⁴	Mar	\$226bn	6.3x	3.3x	5.0x	2.0x	3.8x	1.5x	3.9x	2.4x
Sandisk ¹	Jun	\$251bn	9.4x	8.7x	5.6x	3.5x	7.6x	7.4x	9.3x	8.1x
Micron ^{2,4}	Aug	\$1.10tn	12.5x	7.9x	6.2x	3.7x	8.9x	5.0x	12.0x	-
SK Hynix ⁴	Dec	\$1.11tn	8.0x	4.8x	5.3x	2.5x	5.5x	2.6x	10.8x	6.0x
Samsung ¹	Dec	\$1.35tn ²	7.1x	5.2x	3.1x	2.0x	4.4x	3.3x	3.8x	3.2x

Note: 1-based on latest Bloomberg consensus. 2-based on CY26E & 27E estimates but P-FCFE/share in FY1 is on FY27E forecast.
3-Samsung's marketcap includes the common and preferred shares. 4-We have BUY rating on SK Hynix, Micron and Kioxia.
Source: Bloomberg, Aletheia/TAG

Earnings model

Calendar Year	Jun-25	Sep-25	Dec-25	Mar-26	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Mar-25	Mar-26	Mar-27	Mar-28	Mar-29
Revenue (JPY, bn)	1Q26	2Q26	3Q26	4Q26	1Q27E	2Q27E	3Q27E	4Q27E	1Q28E	2Q28E	3Q28E	4Q28E	FY25A	FY26A	FY27E	FY28E	FY29E
SSD & Storage	217	245	300	600	1,228	1,785	2,134	2,528	2,888	3,432	3,870	4,456	991	1,363	7,674	14,647	
- DC/Enterprise	113	147	180	420	916	1,325	1,458	1,760	2,218	2,910	3,209	3,706	595	860	5,458	12,0	
- PC & Others	104	98	120	180	312	460	676	768	670	522	662	750	396	502	2,216		
Smart Devices	79	157	186	337	588	651	716	677	820	911	1,009	1,010	501	760	2,63		
Others	46	46	57	65	56	56	68	78	61	61	75	86	214	215			
Total revenue	343	448	544	1,003	1,872	2,492	2,918	3,283	3,769	4,405	4,954	5,553	1,706	2,338			
Bit shipment (YoY chg.)	-5%	17%	28%	28%	34%	13%	17%	33%	33%	20%	19%	20%	30%				
Blended ASP per 1GB (US\$)	0.040	0.038	0.043	0.086	0.149	0.174	0.186	0.205	0.224	0.256	0.266	0.288	0.044				
ASP/1 GB (YoY chg.)	-10%	-20%	-8%	125%	272%	353%	337%	138%	50%	47%	43%	40%	2				
FX (US\$/JPY)	145	147	153	155	159	160	160	160	160	160	160	160					
Revenue mix																	
SSD & Storage	63%	55%	55%	60%	66%	72%	73%	77%	77%	78%	78%						
- DC/Enterprise	33%	33%	33%	42%	49%	53%	50%	54%	59%	66%	65%						
- PC & Others	30%	22%	22%	18%	17%	18%	23%	23%	18%	12%							
Smart Devices	23%	35%	34%	34%	31%	26%	25%	21%	22%	21%							
Others	14%	10%	10%	7%	3%	2%	2%	2%	2%								
Total revenue	100%	100%	100%	100%	100%	100%	100%	100%	100%								
P&L (¥bn, FYE Mar, Non-GAAP)																	
Revenue (US\$ bn)	2.36	3.05	3.55	6.47	11.77	15.57	18.24	20.52									
Revenue	343	448	544	1,003	1,872	2,492	2,918	3,28									
COGS	-271	-326	-367	-360	-406	-488	-560										
Gross profit	71	122	177	643	1,466	2,004	2,358										
OPEX	-26	-35	-32	-44	-46	-50											
OP profit	45	87	145	599	1,420	1,953											
Non-OP income	-18	-29	-21	-18	-16	-1											
PTI	28	58	124	581	1,404	1											
Tax	-9	-16	-34	-171	-421												
Net profit	19	42	90	410	9												
FD Non-GAAP EPS, ¥	34	76	163	745													
FD, GAAP EPS, ¥	34	75	160	74													
Profitability																	
Gross margin	20.8%	27.3%	32.5%														
OPN margin	13.2%	19.4%	2														
PTI margin	8.1%	12.9%															
Net margin	5.4%	9.2															
QoQ chg.																	
Revenue	-1																
Gross profit																	
OPN profit																	
PTI																	
Net profit																	
YoY chg.																	
Revenue																	
Gross profit																	
OPN profit																	
PTI																	
Net																	

Source: Kioxia & Aletheia/TAG

Financial Statement

INCOME STATEMENT

FYE Mar (¥ bn, GAAP)	FY24A	FY25A	FY26A	FY27E	FY28E	FY29E
Revenue	1,077	1,706	2,338	10,565	18,681	28,070
COGS	-1,206	-1,137	-1,325	-2,056	-2,770	-3,623
Gross profit	-129	569	1,013	8,509	15,911	24,446
Operating expense	-123	-118	-143	-209	-262	-313
EBITDA	94	765	1,184	8,644	16,053	24,644
Operating profit	-253	452	870	8,300	15,649	24,133
Interest income (expense)	-91	-82	-87	-59	-39	-25
Other income (expense)	0	1	1	3	5	7
Profit before tax	-343	371	784	8,244	15,615	24,115
Tax	100	-98	-230	-2,475	-4,687	-7,237
Net profit	-244	272	554	5,768	10,928	16,878
GAAP EPS ¥, Diluted	-471	515	1,009	10,498	19,889	30,717
Non-GAAP EPS ¥, Diluted	-473	505	1,019	10,514	19,905	30,733
Change YoY						
Revenue	-16%	59%	37%	352%	77%	50%
Gross profit	-409%	-540%	78%	740%	87%	54%
Operating profit	155%	-279%	93%	854%	89%	54%
Net profit	76%	-212%	104%	940%	89%	54%
EPS (non-GAAP)	110%	-207%	102%	932%	89%	54%

CASH FLOW

FYE Mar (¥ bn, GAAP)	FY24A	FY25A	FY26A	FY27E	FY28E	FY29E
Net profit	-244	272	554	5,768	10,928	16,878
Dep. & amortization	346	312	313	341	399	504
Chg in WC	1,016	-480	-323	-1,319	-1,370	-1,627
Others	-923	372	72	0	0	0
OPN cash flow	195	476	617	4,790	9,958	15,755
Capex	-304	-224	-281	-475	-747	-982
Chg in investment	19	44	56	0	0	0
Others	11	7	3	-136	-218	-349
Investing CF	-275	-173	-222	-615	-968	-1,335
Chg in debt	3	-353	215	-335	-335	-335
Equity raised (Repurchased)	0	30	12	0	0	0
Dividend paid	0	0	-323	0	0	0
Others	0	0	0	0	0	0
Financing CF	3	-323	-96	-335	-335	-335
FX & other adj	3	-0	4	0	0	0
Chg in cash	-74	-20	303	3,840	8,654	14,085
Beginning cash	261	188	168	471	4,311	12,965
End cash	188	168	471	4,311	12,965	27,050
FCF	-109	253	335	4,315	9,210	14,772

Source: Kioxia, Aletheia/TAG

BALANCE SHEET

FYE Mar (¥ bn, GAAP)	FY24A	FY25A	FY26A	FY27E	FY28E	FY29E
Cash/ST investment	193	172	478	4,321	12,978	27,066
Inventory	272	353	413	616	855	1,154
Receivable	150	239	661	2,072	3,565	5,357
Current assets	651	807	1,618	7,075	17,465	33,644
Fixed assets	1,328	1,297	1,233	1,369	1,719	2,201
Goodwill & intangibles	407	406	407	405	403	401
Other LT assets	478	410	432	569	787	1,136
LT assets	2,214	2,113	2,072	2,343	2,909	3,737
Total assets	2,865	2,920	3,690	9,418	20,375	37,381
Payable	513	504	595	890	1,253	1,716
Other liability	1,354	481	503	468	433	398
Current liabilities	1,866	985	1,098	1,358	1,686	2,115
LT liabilities	549	1,197	1,193	893	593	293
Total liabilities	2,415	2,182	2,291	2,251	2,279	2,408
Common shares	10	25	31	31	31	31
Retained earnings	-463	-190	367	6,135	17,063	33,941
Equity	450	738	1,399	7,167	18,096	34,974
Liability&Equity	2,865	2,920	3,690	9,418	20,375	37,381

RATIO & PER SHARE DATA

FYE Mar (¥)	FY24A	FY25A	FY26A	FY27E	FY28E	FY29E
Gross margin (%)	-12.0	33.4	43.3	80.5	85.2	87.1
EBITDA margin (%)	8.7	44.8	50.7	81.8	85.9	87.8
Op. Profit margin (%)	-23.5	26.5	37.2	78.6	83.8	86.0
Net Profit margin (%)	-22.6	16.0	23.7	54.6	58.5	60.1
ROE (%)	-44.0	45.9	51.9	134.7	86.5	63.6
ROA (%)	-8.3	9.4	16.8	88.0	73.4	58.4
Gross gearing (%)	84.3	74.7	62.1	23.9	11.2	6.4
Net gearing (%)	237.1	107.0	52.8	-47.9	-68.7	-76.8
Asset turnover (x)	0.4	0.6	0.7	1.6	1.3	1.0
Leverage (x)	5.3	4.9	3.1	1.5	1.2	1.1
Payable days	156	163	151	158	165	173
Receivable days	44	42	70	72	70	70
Inventory days	96	100	105	109	113	116
EPS, diluted	-471	515	1,009	10,498	19,889	30,717
BVPS	869	1,396	2,546	13,044	32,933	63,651
Net cash per share	-2,061	-1,494	-1,344	6,255	22,615	48,859
SPS	2,080	3,230	4,254	19,228	33,999	51,086
FCFPS	-211	478	611	7,853	16,763	26,885
Total returns (%)	0.0	0.0	0.0	0.0	0.0	0.0

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